

Article | 29 July 2026

FX

FX Daily: Fed hold can hit the dollar today

The consensus view for the FOMC today may be a hold, with two dissenters voting for a hike. That might prevent a material downward correction in rates, but the dollar may still fall as precautionary positioning is unwound and the greenback reconnects with lower oil prices. This means EUR/USD might be past its lows



All eyes today are on the FOMC meeting. Pictured: The Federal Reserve building in Washington, which is still under construction

📉 USD: Dollar to reconnect with lower oil after Fed hold

Our [Fed preview](#), published last week, argued that precautionary positioning for a potential surprise Fed hike could keep the dollar supported going into today's FOMC announcement. That appears to have been the case. Despite softer consumer confidence data and de-escalation headlines weighing on the dollar yesterday, DXY has shown little sensitivity to the recent decline in oil prices.

But that resilience will be tested heavily today. Markets are pricing in 7bp, or about a 25-30% probability of a Fed hike today. That, in theory, implies a mechanical correction lower in front-end USD rates if – like we expect – rates are kept unchanged. That said, great attention will be on the vote split.

It seems to us that consensus expects two dissenters – Logan and Hammack – to vote for a hike. In that case, year-end rate expectations (41bp) may remain broadly supported, but we would still see downside risks for the dollar. The rationale links back to our first point. A Fed hold should trigger an unwinding of precautionary USD positioning, allowing the dollar to reconnect with the signal from lower oil prices. The resumption of military strikes in the Gulf overnight does not seem to be severely denting markets' hopes for de-escalation, with Brent remaining below US\$90 a barrel for the moment.

In other words, unless Fed Chair Kevin Warsh surprises with a hawkish spin, or we see more than two dissenters, we think the dollar will come under pressure today. If constructive headlines from the Gulf return, we expect a test of 101.0 in DXY by the end of this week.

Francesco Pesole

📈 **EUR: Looking back to 1.15 soon?**

The resumption of military strikes overnight is a reminder that caution remains warranted on EUR/USD. Even so, if markets are right to maintain a broadly constructive view on further de-escalation, there is a good chance the pair bottomed out last week. For a sustainable move back above 1.15, two pieces are still missing: dovish Fed repricing, either through US data or communication, and a stabilisation in risk sentiment. While tech stocks' independence from rates helped support EUR/USD during the spring, the current turmoil in the chip sector may now cap gains despite improving Middle East headlines.

With little on today's eurozone calendar, EUR/USD should take its cue from the FOMC. As a baseline reaction to a modest dovish Fed surprise, we look for a move back into the 1.1400-1.1450 range over the coming days.

Francesco Pesole

📈 **AUD: Surprisingly soft CPI data**

Australian inflation came in softer than expected this morning. Headline CPI slowed from 4.0% to 3.8% in June, equivalent to 0.6% QoQ, while the trimmed mean – Australia's preferred core measure – held at 3.6% against expectations of 3.7%. The immediate market reaction has been significant: the two-year AUD swap rate has fallen 10bp, leaving AUD as the only G10 currency weaker against the USD today.

Markets have sharply pared back RBA tightening expectations, from around 20bp before the release to 13bp at the time of writing. While we also expect no further RBA hikes this year, the market response may be somewhat excessive. Higher energy prices in July suggest inflation data over the rest of the summer could prove less reassuring, and Governor Michele Bullock has continued to signal that additional tightening might still be required to return inflation to target.

In the near term, AUD remains challenged by volatility in Asian equities. However, our dovish Fed view, the more limited scope for further declines in front-end AUD rates, and AUD's favourable carry and terms of trade keep the medium-term outlook constructive. We continue to target 0.73 in AUD/USD by December.

Francesco Pesole

CEE: Fed risk in focus but local story turns constructive

Markets stabilised somewhat yesterday across both rates and FX. Investors are clearly waiting for today's Fed decision, which could have a meaningful impact on EM currencies. The risks look asymmetric if the Fed hikes, versus our baseline, as that would likely hit CEE currencies harder. By contrast, an on-hold decision should provide only a modest boost. That said, current market conditions still show lower oil and gas prices and a disconnect between rates and FX. No Fed hike could therefore unlock the remaining upside in CEE currencies that have been held back in recent days by caution ahead of the decision. This makes today's Fed meeting slightly less asymmetric for CEE.

Locally, today should be quiet, with the key data releases coming later this week: GDP in Hungary and the Czech Republic on Thursday and CPI in Poland on Friday. We may still hear from the CNB before its blackout period starts on Thursday.

CEE is also entering the key phase of preparing next year's budget plans. In the Czech Republic, the PM indicated yesterday that the deficit should not exceed 2.9% of GDP, from 2.4% this year. This should reassure markets that the new government will stay below the 3% threshold, although the deficit is still set to widen. In Poland, media reports point to possible tax increases, alongside a potential rise in the tax allowance, as the government looks for the right mix ahead of next year's general election. We expect the deficit at 6.8% of GDP this year and 6.3% next year. In both countries, the final draft budgets should be presented around late August or early September.

Frantisek Taborsky

Author

Francesco Pesole

FX Strategist

francesco.pesole@ing.com

Frantisek Taborsky

EMEA FX & FI Strategist

frantisek.taborsky@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.